

Invoice Approval and Payment Policy

Policy Number:	FIN-POL-001	Version:	v2.1
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Approved By:	CFO, Board of Directors	Classification:	Internal — Confidential

1. PURPOSE

This policy establishes the framework for invoice approval, payment authorisation, and expenditure control at Investors Ltd. It ensures that all payments are legitimate, properly authorised, and compliant with internal financial controls.

2. SCOPE

This policy applies to all departments, employees, vendors, and contractors who submit or process invoices at Investors Ltd. It covers all invoice types including goods, services, consulting, and recurring contracts.

3. DEFINITIONS

Invoice: A document submitted by a vendor requesting payment for goods or services delivered to Investors Ltd.

Approver: The designated employee responsible for verifying and authorising an invoice before payment is processed.

Purchase Order (PO): An internal document issued by Investors Ltd authorising a vendor to supply goods or services up to a specified value.

Threshold: The maximum invoice amount that can be approved at each authorisation level without escalation.

4. INVOICE REQUIREMENTS

4.1 Mandatory Fields

Every invoice submitted to Investors Ltd must contain the following fields. Invoices missing any of these fields will be returned to the vendor and cannot be processed until corrected:

- Vendor name and GST number
- Invoice number (unique per vendor)
- Invoice date and Due date
- Amount (in INR)
- Department the invoice is raised against
- Name of the designated approver at Investors Ltd
- Description of goods or services provided

- Payment terms (Net 15, Net 30, or Net 45)

4.2 Currency

All invoices must be denominated in Indian Rupees (INR). Invoices in foreign currency must be converted to INR at the RBI reference rate on the invoice date before submission.

4.3 GST Compliance

All vendor invoices must be GST compliant. The vendor's GSTIN must be valid and active at the time of submission. Finance will verify GSTIN status before processing payment.

5. APPROVAL THRESHOLDS AND AUTHORISATION LEVELS

5.1 Standard Approval — Up to Rs.1,00,000

Invoices with a total value up to Rs.1,00,000 (one lakh rupees) may be approved by the designated departmental approver. The approver must be a confirmed employee of Investors Ltd at the level of Manager or above. No additional sign-off is required.

5.2 Senior Approval — Rs.1,00,001 to Rs.1,50,000

Invoices between Rs.1,00,001 and Rs.1,50,000 require senior approver sign-off in addition to the departmental approver. Senior approvers are: Finance Manager, Operations Head, or equivalent Grade 6+ employees. Payment cannot be processed until both signatures are obtained. Target turnaround: 3 business days from receipt.

5.3 Board Approval — Above Rs.1,50,000

Invoices exceeding Rs.1,50,000 (one lakh fifty thousand rupees) require board-level authorisation before payment.

Required documentation:

- Verified Purchase Order matching the invoice
- Vendor credential check (GST, PAN, bank account verification)
- Board resolution or written approval from two board members

Target turnaround: 7 business days from receipt. Finance must not process payment until all documentation is received and filed.

6. PAYMENT TERMS

6.1 Standard Payment Terms

Payment Term	Due Date Calculation
Net 15	Payment due 15 days from invoice date
Net 30	Payment due 30 days from invoice date
Net 45	Payment due 45 days from invoice date

6.2 Due Soon — Priority Processing

Any invoice with a due date within 7 calendar days of today must be flagged as priority and escalated immediately to the approver. Late payment penalties are the responsibility of the approver who failed to action the invoice in time.

6.3 Overdue Invoices

Invoices past their due date must be reported to the Finance Manager weekly. Repeated late payments to the same vendor may result in renegotiation of payment terms.

7. MISSING OR INCOMPLETE INVOICES

7.1 Return Policy

Any invoice missing one or more mandatory fields (as listed in Section 4.1) must be:

1. Rejected immediately by Finance
2. Returned to the vendor with a written explanation of what is missing
3. Not entered into the payment system until corrected

7.2 Responsibility

The departmental approver is responsible for ensuring invoices submitted by their vendors are complete before forwarding to Finance. Repeated submission of incomplete invoices by a vendor should be escalated to the Vendor Management team.

8. ROUND AMOUNT INVOICES

8.1 Suspicion Threshold

Any invoice with an amount that is an exact multiple of Rs.1,00,000 (e.g. Rs.1,00,000, Rs.2,00,000, Rs.3,00,000) must be treated with additional scrutiny. Real invoices for goods and services rarely land on exact lakh amounts.

8.2 Required Action

For round lakh amount invoices, Finance must:

1. Request supporting documents — itemised breakdown, delivery receipts, or timesheet
 2. Request the associated Purchase Order
 3. Verify the amount independently before approving payment
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9. POLICY VIOLATIONS

Any employee found to have approved an invoice in violation of this policy — including approving above their threshold, approving incomplete invoices, or bypassing controls — will be subject to disciplinary action up to and including termination. Finance reserves the right to reverse any payment made in violation of this policy.

10. REVIEW AND AMENDMENTS

This policy is reviewed annually by the CFO and Finance Manager. Any amendments require board approval before taking effect. Employees will be notified of changes via internal communication.
